

PROFIT PERFORMANCE

➤ The return on capital employed (ROCE) ratio fell for most Adani Group firms in FY23 ➤ Only Adani Enterprises, Adani Green Energy and Adani Power have seen their PAT margins improve in FY23

Company	ROCE (in %)		PAT Margin (in %)	
	FY23	FY22	FY23	FY22
Adani Enterprises	10.7	7.3	1.6	0.7
Adani Green Energy	8.5	7.8	12.5	9.5
Adani Total Gas	21.0	25.1	11.7	15.7
Adani Energy Solutions	10.5	10.8	9.6	11.0
Adani Ports and Special Economic Zone	8.8	10.8	25.9	28.9
Adani Power	15.8	16.0	27.7	17.7
Ambuja Cements	13.7	22.0*	6.9	11.1*
Adani Wilmar	15.2	19.5	1.0	1.4
ACC	9.0	18.9*	3.5	10.0*

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THE HOLDINGS STORY

➤ Retail investors have increased their exposure to most Adani Group companies in the past three quarters ➤ Mutual funds, however, continue to stay away from the group

Company	Retail		Mutual Funds	
	09/23	12/22	09/23	12/22
Adani Enterprises	2.76	1.86	1.39	1.19
Adani Green Energy	2.19	1.06	0.13	0.12
Adani Total Gas	4.64	1.55	0.13	0.13
Adani Energy Solutions	2.51	0.77	0.19	0.13
Adani Ports and Special Economic Zone	3.48	2.86	3.56	4.43
Adani Power	4.89	5.68	0.74	0
Ambuja Cements	6.18	5.52	6.46	7.79
Adani Wilmar	10.31	8.94	0.06	0.02
ACC	8.9	8.19	12.52	8.22

FIGURES INDICATE SHAREHOLDING IN PER CENT
SOURCE BSE

and it should be at least over 20 per cent. Adani Group firms do not fare high on this parameter with the average ROCE pegged at 12.6 per cent, per the BT500 analysis (See table 'Profit Performance').

A BUMPY ROAD AHEAD

Gupta of Stakeholders Empowerment Services believes that investors could see some amount of stability going ahead even though the negative news flow may continue in the near future. "Retail investors have increased their exposure in the group probably because they see value and did bottom-fishing. So as far as the investor community is concerned, it seems that whatever panic had to happen around the Adani counters has already happened and there could be some amount of stability going ahead," he says.

Indeed, all but one company—Adani Power—saw an increase in the share of retail holding over the last three quarters even as mutual funds largely continued to stay away from the group (see table 'The Holdings Story'). In a similar context, Baliga says that prior to the Hindenburg report, investors were mostly chasing momentum and the report switched that off. "I think the movement in the Adani Group stocks going ahead would be lacklustre in nature as controversies keep coming up," he says, adding that the group needs to bring on board more serious domestic and foreign investors.

Finally, one must keep in mind that the Supreme Court verdict based on the Sebi report on Hindenburg's allegations is still awaited. The decision of the apex court will undoubtedly have an impact on the group's future stock market movement. **BT**

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